

KNUST RANKS NO.1 GLOBALLY FOR THE
PROVISION OF QUALITY EDUCATION (SDG 4)



LECTURE FOUR

THE IMPORTANCE OF INTELLECTUAL PROPERTY



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Lecture Objectives

1. Define the term “intellectual property” and describe its importance.
2. Explain what a patent is and describe different types of patents.
3. Describe a trademark and explain the process entrepreneurs use to obtain one.
4. Describe a copyright and identify what a copyright can protect.
5. Describe a trade secret and understand the common causes of trade secret disputes.



Lecture Objectives

4. Explain what an intellectual property audit is and identify the two primary reasons entrepreneurial firms should complete this type of audit



The Importance of Intellectual Property

- Intellectual Property
 - Is any product of human intellect that is intangible but has value in the marketplace.
 - It is called “intellectual” property because it is the product of human imagination, creativity, and inventiveness.
- Importance
 - Traditionally, businesses have thought of their physical assets, such as land, buildings, and equipment as the most important.
 - Increasingly, however, a company’s intellectual assets are the most important.



Common Mistakes Firms Make in Regard to Protecting Their Intellectual Property

Not properly identifying all of their intellectual property.

Not fully recognizing the value of their intellectual property.

Not legally protecting the intellectual property that needs protecting.

Not using their intellectual property as part of their overall plan for success.



Determining What Intellectual Property to Legally Protect

Criteria 1

Determine whether the intellectual property in question is directly related to the firm's competitive advantage.

Criteria 2

Decide whether the intellectual property in question has value in the marketplace.



The Four Key Forms of Intellectual Property

Patents

Trademarks

Copyrights

Trade Secrets



Patents

- Patents

- A patent is a grant from the federal government conferring the rights to exclude others from making, selling, or using an invention for the term of the patent.
- There is increasing interest in patents.
 - Since Patent #1 was granted in 1790, the U.S. Patent & Trademark Office has granted over six million patents.
 - The patent office is strained. It now takes an average of 29.1 months from the date of first filing to receive a U.S. patent.



Patents

- Patents

- The Patents Act, 2003 (Act 657) (Patents Act) and the Patents Regulations 1996 (L.I. 1616) (Patents Regulations) constitute the legislative framework for the grant and protection of patents in Ghana. The Patents Office of the Registrar General's Department is the issuing office of a patent in Ghana.



Patents

Patents are territorial therefore a grant of a patent in Ghana affords the inventor the rights and protection of the invention only within Ghana. A patent may also be granted in respect of Ghana by filing a regional patent application with the African Regional Industrial Property Organization (ARIPO).

The World Intellectual Property Organization (WIPO) administers the Patent Corporation Treaty (PCT). The PCT ensures a unified method for filing international applications in member countries. Under the PCT, an applicant is able to file applications, conduct searches and examine inventions to determine their patentability. An applicant is then able to file an application in the national phase at the Patents Office for the grant of a patent by Ghana.



Proper Understanding for What a Patent Means

A patent does not give its owner the right to make, use, or sell an invention; rather, the right granted is only to exclude others from doing so.

As a result, if an inventor obtains a patent for a new kind of computer chip, and the chip would infringe on a prior patent owned by Intel, the inventor has no right to make, use, or sell the chip.

To do so, the inventor would need to obtain permission from Intel. Intel may refuse permission, or ask that a licensing fee be paid for the rights to infringe on its patent.

While this system may seem odd, it is really the only way the system could work. Many inventions are improvements on existing inventions, and the system allows the improvements to be (patented) and sold, but only with the permission of the original inventors, who usually benefit by obtaining licensing income in exchange for their consent.



Three Basic Requirements for Obtaining a Patent

Useful

It must have utility.

Novel

It must be different from what has come before (i.e., not in the "prior art").

Not Obvious

It must be not obvious to a person of ordinary skill in the field.



Types of Patents

Type	Type of Invention Covered	Duration
Utility	New or useful process, machine, manufacturer, or composition of material or any new and useful improvement thereof.	20 years from the date of the original application.
Design	Invention of new, original, and ornamental design for manufactured products.	14 years from the date of the original application.
Plant	Any new varieties of plants that can be reproduced asexually.	20 years from the date of the original application.



Business Method Patents

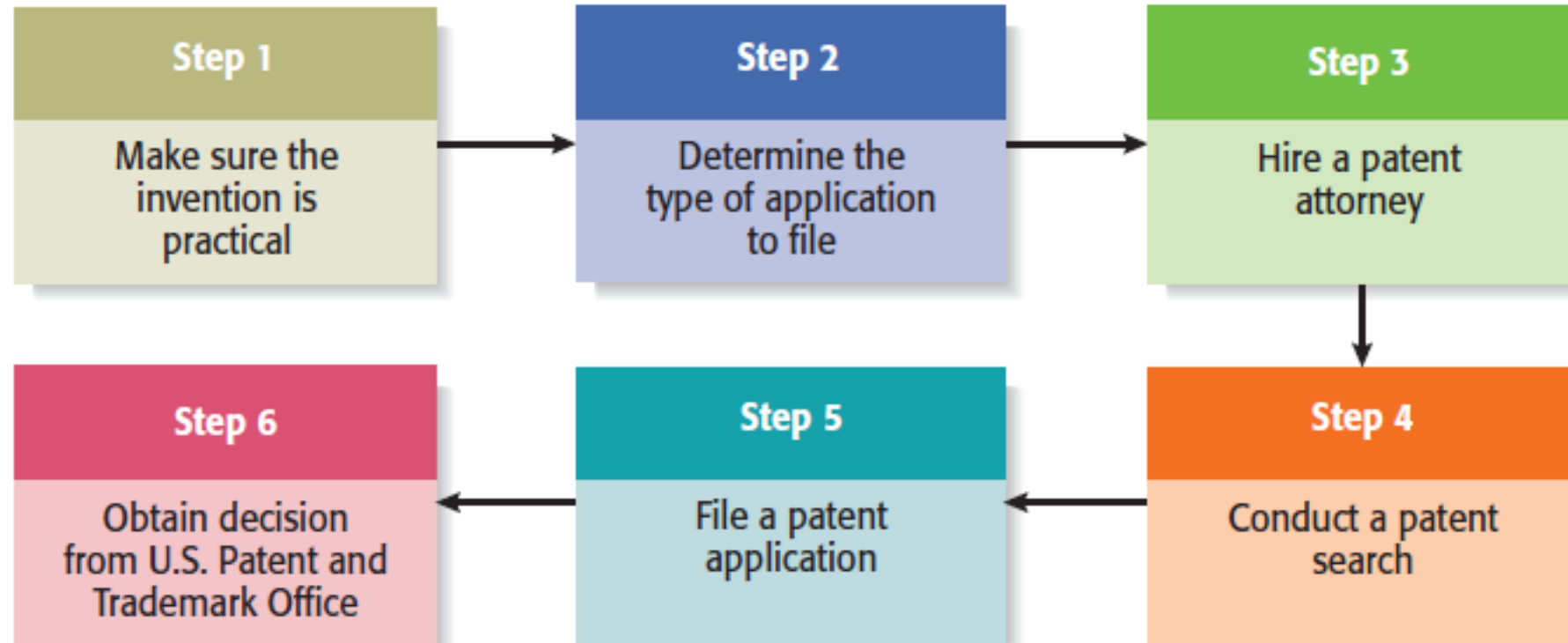
(Special Utility Patent)

■ Business Method Patent

- A business method patent is a patent that protects an invention that is or facilitates a method of doing business.
- The most notable business method patents that have been awarded:
 - Amazon.com's one-click ordering system.
 - Priceline.com's "name-your-price" business model.
 - Netflix's method for allowing customers to set up a rental list of movies to be mailed to them.



The Process of Obtaining a Patent



Patent Infringement

- Patent Infringement
 - Takes place when one party engages in the unauthorized use of another party's patent.
 - The tough part (particularly from a small entrepreneurial firm's point of view) is that patent infringement cases are costly to litigate.
 - A typical patent infringement case costs each side at least \$500,000 to litigate.



Trademarks

■ Trademark

- A trademark is any word, name, symbol, or device used to identify the source or origin of products or services and to distinguish those product or services from others.
- Trademarks also provide consumers with useful information.
 - For example, consumers know what to expect when they see a Macy's store.
 - Think how confusing it would be if any retail store could use the name Macy's.
 - Fan Milk: A well-known brand for dairy products and frozen treats like ice cream and yogurt. The "Fan Milk" name and logo are trademarked.
 - Kasapreko: A major player in the beverage industry, particularly known for alcoholic beverages like Alomo Bitters. The brand name "Kasapreko" and its various product logos are trademarked.
 - Melcom: A leading retail chain in Ghana, known for its wide range of products. The name "Melcom" and its logo are trademarked



The Four Types of Trademarks

1 of 2

Type	Types of Marks Covered	Duration
Trademark	Any word, name, symbol, or device used to identify and distinguish one company's goods from another. Examples: <i>Apple</i>, <i>d.light</i>, <i>GoPro</i>, <i>DripCatch</i>, and <i>Brain Sentry</i>.	Renewable every 10 years, as long as the mark remains in use.
Service mark	Similar to trademarks; are used to identify the services or intangible activities of a business, rather than a business's physical products. Examples: <i>1-800-FLOWERS</i>, <i>Amazon.com</i>, <i>CoachUp</i>, and <i>Dropbox</i>.	Renewable every 10 years, as long as the mark remains in use.



The Four Types of Trademarks

2 of 2

Type	Types of Marks Covered	Duration
Collective mark	Trademarks or service marks used by the members of a cooperative, association, or other collective group. Examples: <i>Rotary International</i> and <i>International Franchise Association</i>	Renewable every 10 years, as long as the mark remains in use.
Certification mark	Marks, words, names, symbols, or devices used by a person other than the owner to certify a particular quality about a good or service. Examples: <i>100% Napa Valley</i> and <i>Underwriters Laboratories</i>	Renewable every 10 years, as long as the mark remains in use.



What is Protected Under Trademark Law

1 of 2

Item	Example(s)
Words	Birchbox, Warby Parker, DripCatch
Numbers and letters	3M, Boeing 787, AT&T
Designs and logos	Nike swoosh logo
Sounds	MGM's lion's roar



What is Protected Under Trademark Law

2 of 2

Item	Example
Fragrances	Stationery treated with a special fragrance
Shapes	Unique shape of the Apple iPhone
Colors	Nexium—the “purple pill”
Trade dress	The layout and décor of a restaurant

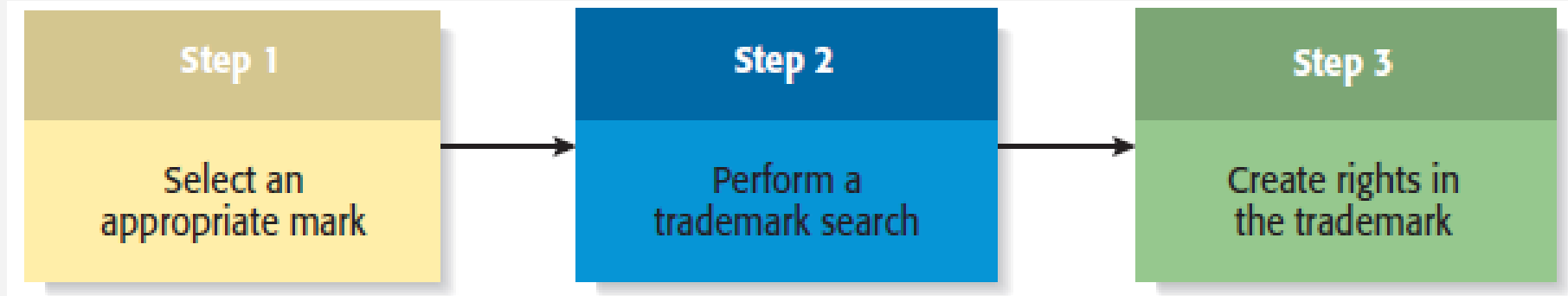


Exclusions From Trademark Protection

Item	Example
Immoral or scandalous matter	Profane words
Deceptive matter	Labeling oranges “Fresh Florida Oranges” that aren’t grown in Florida
Descriptive marks	Phrases like “golf ball” and “fried chicken” are descriptive and can’t be trademarked
Surnames	Common surnames like “Anderson” or “Smith” can’t be trademarked



The Process of Obtaining a Trademark



Trademark Registration in Ghana

1. PRELIMINARY SEARCH (OPTIONAL)

- A trade mark search may be conducted prior to the application for registration of the trade mark. The search is important to ensure that no identical trademark has been registered or is pending registration..

2. APPLICATION FOR TRADE MARK REGISTRARTION

- Trade Mark Form No. 2 is used for the application of the trade mark. An applicant is required to attach four (4) representations of the trade mark with a prescribed fee of \$ 200.0 or its Ghana Cedi equivalent. Applicants whose principal place of business is located outside Ghana are required to apply through a legal entity.

3. REVIEW/EXAMINATION OF TM. No 2 BY THE TRADE MARKS OFFICE

- Section 1, Section 3, Subsection (1) and (2) of Section 4, and Section 5 of the Trade Marks Act, 2004, Act 664



Trademark Registration in Ghana

4. PUBLICATION AND OPPOSITION OF TRADEMARK

All trade mark applications accepted by the registrar are published in the Industrial Trade Marks Bulletin (Journal) for a period of two (2) months. Within this period, any interested party or person may file a notice of opposition to the registration in the prescribed manner

5. CERTIFICATION OF TRADEMARK

In the event where there is no opposition to the approved trademarks, the proprietor of a trademark requests the issuance of his trade mark certificate. A certificate of registration of the trademark is then issued to the applicant, and the registered trademark is valid for a period of 10 years from the filing date of the application..



Trademark Registration in Ghana

6. RENEWAL OF TRADE MARKS

- Renewals of trademarks are made every ten (10) years
- NB: Non-use for 5 years following registration makes the registration vulnerable to cancellation

SCHEDULE OF TRADE MARK FEES

- TRADE MARK SEARCH : \$ 135.00
- TRADE MARK APPLICATION : \$ 240.00
- CERTIFICATION OF TRADE MARK : \$ 240.00



Copyrights

■ Copyrights

- A copyright is a form of intellectual property protection that grants to the owner of a work of authorship the legal right to determine how the work is used and to obtain the economic benefits from the work.
- A work does not have to have artistic merit to be eligible for copyright protection.
 - As a result, things such as operating manuals and sales brochures are eligible for copyright protection.



What is Protected By a Copyright?

Literary works

Musical compositions

Computer software

Dramatic works

Pantomimes and
choreographic works

Pictorial, graphic, and
sculptural works



Exclusions From Copyright Protection

- The Idea-Expression Dichotomy
 - The main exclusion is that copyright laws cannot protect ideas.
 - For example, an entrepreneur may have the idea to open a soccer-themed restaurant. The idea itself is not eligible for copyright protection. However, if the entrepreneur writes down specifically what his or her soccer-themed restaurant will look like and how it will operate, that description is copyrightable.
 - The legal principle describing this concept is called the idea-expression dichotomy.
 - An idea is not copyrightable, but the specific expression of an idea is.



Obtaining a copyright in Ghana

Step One

Prepare and Submit the Application.

Indicate:

- the name and citizenship of the author and/or main performers;
 - the title of the work;
 - the year the original work was produced; and
 - the date and place of first publication (if applicable). The application shall also include the payment of the current application fee.
- If the work to be registered has been published, the applicant must deposit two copies of the work with the application; if the work has not been published, the applicant only deposits one copy.
 - Applicants registering sound and audio-visual works must deposit two copies of the phonograms and any printed or perceptible material published with the work, irrespective of its publication status.
 - For collective works appearing in newspapers or periodicals (within a 12-month period), one copy of the entire newspaper or periodical, or the applicable section thereof, must be filed with the application.
 - In certain situations, a photograph or illustration may be submitted in lieu of a true copy.



Obtaining a copyright in Ghana

Step Two

Registration of Copyright and Issue of Certificate On receipt of the application for registration of copyright or related right (such as derivative works or adaptations), the fee and the deposit of the work, the Copyright Office shall, within two weeks after their receipt, determine whether the work is a subject matter for registration or not and in writing inform the applicant accordingly. Where the Copyright Office determines that a deposited work is a subject matter for registration, the Copyright Office shall issue a certificate of registration of copyright or related right to the applicant within two weeks after informing the applicant that the work is a subject matter for registration.



Copyright Infringement

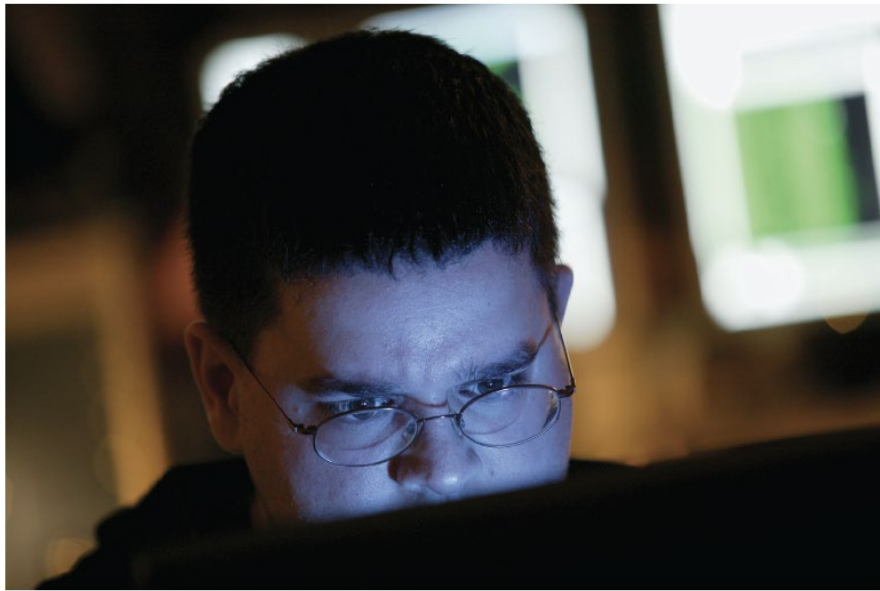
1 of 2

- Copyright Infringement
 - Copyright infringement occurs when one work derives from another or is an exact copy or shows substantial similarity to the original work.
 - To prove infringement, a copyright owner is required to show that the alleged infringer had prior access to the copyrighted work and that the work is substantially similar to the owner's.



Copyright Infringement

2 of 2



- The illegal downloading of music is an example of copyright infringement.
- Copyright infringement costs the owners of copyrighted material an estimated \$25 billion per year in the U.S. alone.



Trade Secrets

- Trade Secrets
 - A trade secret is any formula, pattern, physical device, idea, process, or other information that provides the owner of the information with a competitive advantage in the marketplace.
 - Trade secrets include marketing plans, product formulas, financial forecasts, employee rosters, logs of sales calls, and similar types of proprietary information.
 - The Federal Economic Espionage Act, passed in 1996, criminalizes the theft of trade secrets.



What Qualifies for Trade Secret Protection?

1 of 2

■ Trade Secret Protection

- Not all information qualifies for trade secret protection.
- In general, information that is known to the public or that competitors can discover through legal means doesn't qualify for trade secret protection.
- Companies protect trade secrets through physical measures and written documents.



What Qualifies for Trade Secret Protection?

2 of 2

The strongest case for trade secret protection is information that is characterized by the following.

- Is not known outside the company.
- Is known only inside the company on a “need-to-know” basis.
- Is safeguarded by stringent efforts to keep the information confidential.
- Is valuable and provides the company a competitive advantage.
- Was developed at great cost, time, and effort.
- Cannot be easily duplicated, reverse engineered, or discovered.



Physical Measures for Protecting Trade Secrets

Restricting access

Labeling documents

Password protecting
confidential computer
files

Maintaining logbooks
for visitors

Maintaining logbooks for
access to sensitive
material

Maintaining adequate
overall security
measures



Conducting an Intellectual Property Audit

1 of 2

- Intellectual Property Audit
 - The first step a firm should take to protect its intellectual property is to complete an intellectual property audit.
 - An intellectual property audit is conducted to determine the intellectual property a firm owns.
 - There are two reasons for conducting an intellectual property audit:
 - First, it is prudent for a company to periodically determine whether its intellectual property is being properly protected.
 - Second, it is important for a firm to remain prepared to justify its valuation in the event of a merger or acquisition.



Conducting an Intellectual Property Audit

2 of 2

- The Process of Conducting an Intellectual Property Audit
 - The first step is to develop an inventory of a firm's existing intellectual property. The inventory should include the firm's present registrations of patents, trademarks, and copyrights.
 - The second step is to identify works in progress to ensure that they are being documented and protected in a systematic, orderly manner.



ANY QUESTION?



THANK YOU

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